

Calendar Line 7

Case Name: *Karen Castro v. Quanta Manufacturing Incorporation et al.*

Case No.: 23CV426909

In this wrongful termination and discrimination case, defendant TPS Solutions, Inc. (“TPS”) moves to compel arbitration against its former employee, plaintiff Karen Castro, based on an arbitration agreement that Castro purportedly e-signed in both Spanish and English. Castro disputes that she ever signed such an agreement. In addition, she argues that the agreement is unenforceable because it is procedurally and substantively unconscionable. Having reviewed the evidence submitted by the parties, the court concludes that TPS has failed to show the existence of a valid arbitration agreement and therefore denies the motion.

1. Background Facts

Castro was hired by TPS to work as a janitor from November 2021 to July 2023.¹⁰ She says that she was born and raised in Honduras, where she received only a sixth-grade education. She cannot read English and has a limited ability to speak English. She says she has never owned a computer (or laptop or tablet) and does not know how to use a computer. (Declaration of Karen Castro, ¶¶ 2-9.)¹¹

TPS contends that Castro electronically signed a Spanish-language arbitration agreement on March 2, 2023, as well as an English-language arbitration agreement on July 5, 2023—the latter while she was on pregnancy leave and before she was disallowed from returning. It appears that the time stamps on both of these signatures are very late in the evening: 10:48 p.m. on March 2 and 11:02 p.m. on July 5. According to TPS’s President, Michael Avidano, signing these agreements was a part of TPS’s “online onboarding” process in 2023. (Declaration of Michael Avidano, ¶¶ 4-5.) Employees were directed to enter their names and social security numbers on the “Tempworks” system, and then to create a unique username and password, after which they would be presented with a series of documents to review and sign. (*Id.* at ¶¶ 6-10.) Avidano states: “The Tempworks system shows that an employee using the Karen Castro profile[] clicked the check box on the Arbitration Agreement to place Karen Castro’s signature the [sic] Spanish Language Arbitration Agreement on March 02, 2023. Only an individual using Ms. Castro’s unique login and password could have checked the check box on the Arbitration Agreement.” (*Id.* at ¶ 11.)

2. Legal Standard

In determining the threshold question of whether an arbitration agreement exists between the parties, the court employs a three-step burden-shifting analysis. (*Iyere v. Wise Auto Group* (2023) 87 Cal.App.5th 747, 755 (*Iyere*); see also *Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1060.) The party seeking to compel arbitration bears the initial burden of showing an agreement to arbitrate. If that burden is met, the burden shifts to the opposing party to show a factual dispute regarding the agreement’s existence. If the opposing party does so, then the burden shifts back to the proponent of

¹⁰ Castro claims that she worked until May 4, 2023, at which point she took a leave of absence for her pregnancy. When she tried to return in July 2023, she was not allowed to resume her job.

¹¹ Castro’s declaration is in both English and Spanish, accompanied by a certification of the translator.

arbitration to show the existence of a valid agreement by a preponderance of the evidence. (*Iyere*, 87 Cal.App.5th at p. 755.)

3. Discussion

The court finds that TPS has met its initial burden of showing the existence of an arbitration agreement. Attached to the motion’s supporting declarations are both Spanish and English versions of an arbitration agreement, showing what TPS claims to be e-signatures of Castro.

The court also finds that Castro has met her burden of shifting the burden back to TPS. First, she flatly denies having e-signed either the Spanish or English versions of the arbitration agreement. This, on its own, is enough to create a factual dispute. (See *Garcia v. Stoneledge Furniture LLC* (2024) 102 Cal.App.5th 41, 52 (*Garcia*); see also *Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165.)

Second, and even more critically, she raises serious questions about the credibility of TPS’s evidence. Avidano’s declaration does not state that he witnessed Castro’s signing in either March or July 2023, and so his declaration does not establish that the purported e-signatures were “the act of the person.” (*Garcia, supra*, 102 Cal.App.5th at p. 53.) In addition, although TPS argues *in its brief* that it provided a laptop to Castro on each occasion to log into the “Tempworks” system to complete the electronic forms, TPS has failed to submit any admissible evidence—*e.g., a declaration of a competent witness*—either that it provided a laptop to Castro on each occasion, *or even that it was standard practice for it to do so* with employees who did not have their own computer. Attorney arguments contained in a brief are not evidence.

Avidano’s declaration also fails to provide a sufficiently credible explanation as to why Castro was asked to e-sign these “onboarding” documents more than 15 months after she had already started working. Avidano states that TPS underwent “an auditing of its files” in July 2023, which necessitated sending electronic forms to employees who had already onboarded, but this doesn’t explain why Castro was purportedly asked to e-sign a Spanish version of the agreement *four months earlier* than this alleged audit, in March 2023. Indeed, this essentially serves as an admission by TPS that Castro did not sign an arbitration agreement when she began her employment, and it was only more than a year into her job that she was purportedly asked to sign such an agreement.

This is corroborated by the documents that Castro submits with her opposition. These are forms that Castro claims that she signed—in hard copy—when she actually began her employment with TPS. They include various agreements—including an orientation form, a medical form, a sick leave form, a sexual harassment policy, and a confidentiality agreement—but no arbitration agreement. They are all dated 2021. (Declaration of Parviz Darabi, Exhibit 1.)¹²

Finally, Castro argues that it does not make sense that she would supposedly have gone into TPS’s offices late at night (10:48 p.m. and 11:02 p.m.) to log into a computer and e-sign

¹² The court finds it odd that these exhibits are attached to the declaration of counsel, rather than to the declaration of Castro. They should have been attached to the latter declaration.

various forms, when her regular work hours were much earlier in the day, from 7:30 a.m. to the late afternoon.¹³ She also notes that it does not make sense that she would go in late at night on July 5, 2023, while she was still on pregnancy leave, to sign the English-language version of the arbitration agreement. She argues that these circumstances are suspicious, and the court agrees. Indeed, the court does not understand why TPS would have asked Castro to come into their offices, while on leave, late at night, to sign an English-language version of the agreement when she had already allegedly signed a Spanish-language version. What does that even accomplish? It is especially puzzling given Castro's uncontested statement in her declaration that she cannot read English.

In reply, TPS fails to rebut any of these points. Instead, TPS falls back on the original Avidano declaration (Reply, pp. 5:25-6:8), which raises more questions than it answers.

Given the foregoing, the court finds that TPS has failed to show by a preponderance of the evidence the existence of a valid arbitration agreement.

Neither side has requested an evidentiary hearing, and the court finds that one is not necessary, given that TPS has not identified any witness with percipient knowledge to rebut Castro's emphatic denial of having e-signed two arbitration agreements, late at night, at TPS's offices. This matter can be adjudicated on the papers. (See *Garcia, supra*, 102 Cal.App.5th at pp. 54-55 [defendants forfeited evidentiary hearing by failing to request one before the motion hearing]; see also *Jones v. Solgen Construction, LLC* (2024) 99 Cal.App.5th 1178, 1204-1205 [no basis for remand to conduct evidentiary hearing when the dispute was relatively straightforward, rather than "extreme and wide ranging"].)

Finally, because the court has concluded that there was no valid arbitration agreement, the court declines to address Castro's additional arguments regarding unconscionability (which the court finds to be less compelling in any event).

The motion is DENIED.

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¹³ The evidentiary foundation for this argument is exceedingly thin, as Castro's regular work hours are not described anywhere in her declaration. They are only set forth in her opposition brief. Again, *attorney arguments are not evidence*. But because TPS does not raise any dispute regarding Castro's regular work hours in reply, the court will consider this fact.